



BANDEEP SINGH

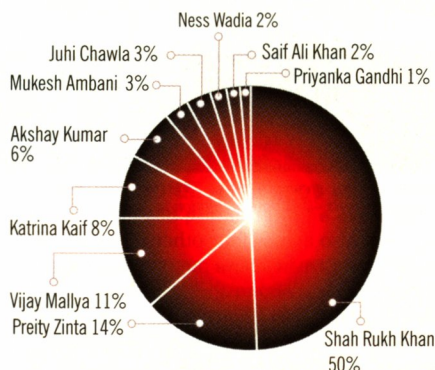
MONEYMAKER: (left) Khan with KKR players, (left below) Dhoni shows Chennai's jersey, (right) Sehwag and McGrath at a fashion show

which adds up to \$153 million (Rs 648 crore) for five years—will be equally divided between the team owners. So in the first year, team owners will definitely take home a guaranteed \$10 million (Rs 42 crore) from the central coffers.

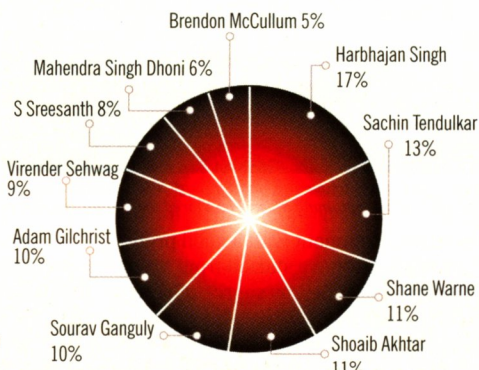
All other local revenues—including gate revenues, franchisee sponsorship, local sponsorship, licensing programme, uniform merchandising, hospitality and premium seating, match-day concessions, match-day promotions and franchise media platforms—can be retained by the team owners. While most franchisee say that there is no chance of any profit in the first year, Shah Rukh Khan has proved them all wrong. Having mastered the art of marketing himself, Khan is perhaps the most successful franchisee as he has exploited the avenue of team sponsorships to the hilt. His Kolkata Knight Riders (KKR) may have

GLITZ VS SIXERS: WHO CORNERED THE IPL'S COLUMN INCHES

SHARE OF VOICE*: CELEBRITIES



SHARE OF VOICE: PLAYERS



* Print media coverage of IPL's leading personalities Source: Eikona PR Measurement/ TAM Media Research

player fees coupled with the franchisee fee, owning a cricket team requires deep pockets and big hearts. Given that the overheads are fixed—which include franchisee fee and fee for players and support staff—it is up to the franchisee to monetise all the available opportunities. For the first few years, the IPL has offered to give the eight franchises a portion of the central sponsorship and media rights. The IPL will divide 80 per cent of the revenues from Rs 389 crore in media rights with the franchise owners for the first five years. Of this sum, 72 per cent will be equally divided while the remaining 8 per cent will be distributed on the basis of individual performance.

From the fifth year, the revenue share from media rights goes down to 60 per cent. This apart, 60 per cent of the central sponsorships—

ended third—from the bottom—but with an array of sponsors, Khan has stitched up deals worth Rs 45 crore in the first year. Says Manish Porwal, CEO, Percept Talent Management, the agency appointed by Khan to stitch up partnerships for KKR: "In terms of revenues, the emphasis is far more on sponsorships. Everything in the home grounds, from stadium ticket sales, perimeters to digital rights, everything can be monetised."

Khan attempted everything from cutting a music album deal with T-Series to a merchandising deal with Reebok, which opened the first RBK Knight Riders store in Kolkata. When KKR put its shirts on sale, Reebok's store at Linking Road in Mumbai sold 400 T-shirts on the first day, driven by SRK's pan-Indian appeal. No wonder, Khan is the richest franchisee and the only one who will

VIKRAM SHARMA



Rs 350 cr

the BCCI's earnings this year via franchisee fees, share of revenues from media rights and central sponsorships